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Innolux | Asia Pacific

Diversification Continues; Expectations on the Optical Initiatives Over Hyped

We expect the share price to be under pressure in the near term at the current valuation of 1.2x 2026 P/E, following management's comments on its progress in the optical space.

Panel pricing resilient in 2Q26: Management expects TV panel prices to stay resilient in 2Q26 on disciplined supply and restocking ahead of major sports events. The rising memory prices should have limited impact on TV and monitor supply chain, given it's only low to mid single digit percentage of the BOM costs. On the other hand, PC/NB and smartphones should suffer more from the dynamics.

Non-display business to be the major driver: Pioneer and Innolux's existing automobile arm are complementary on the product offerings, manufacturing facilities, and customer base. They are of a similar annual run rate at US\$1.5-1.6bn. Though Pioneer has a higher cost structure, Innolux believes that it could be further optimized following the acquisition. The non-display business was 29% of Innolux's revenue mix in 2025, should be 35% in 2026 and is guided to reach 50% by 2030.

Emerging revenue streams to take more time: For FOPLP (Fan Out Panel Level Packaging), the chip-first architecture has been under mass production in the past few quarters and the monthly shipment has increased to 40mn units now vs. 4mn units initially. This is mainly for lower end RF components, but management indicates that it will migrate into the RDL (Re-Distribution Layer)-first architecture for high end consumer processor and the TGV (Through Glass Via) architecture for HPCs, where it targets to get qualifications from customer in 2026. As for the highly discussed business potential in the optical space, especially shuffle boxes for CPO (OC-packaged Optics), management believe that it could be an area for development given its optical expertise, but this is now in the early stages only and there is no concrete progress yet on this front.

Share price to be under pressure in the near term: While we believe that the TV panel price dynamics will create some tailwinds for Innolux, we think most of the recent share price rally has been driven by the expectation of its progress in the optical space. With the its current valuation at 1.2x 2026e P/E and management's clarification on the progress related to CPO, we believe that the share price will be under pressure in the near term.

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Innolux (3481.TW, 3481 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Equal-weight
Industry View	In-Line
Price target	NT\$19.50
Up/downside to price target (%)	(41)
Shr price, close (Mar 12, 2026)	NT\$32.95
52-Week Range	NT\$33.30-11.00
Sh out, dil, curr (mn)	8,553
Mkt cap, curr (mn)	NT\$281,833
EV, curr (mn)	NT\$255,193
Avg daily trading value (mn)	NT\$2,479

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (NT\$)**	0.76	0.01	0.36	0.56
EPS (NT\$)§	(0.36)	(0.09)	0.22	0.47
Revenue, net (NT\$ bn)	216.5	226.7	266.3	278.0
EBITDA (NT\$ bn)	36.2	28.6	31.6	33.6
ModelWare net inc (NT \$ bn)	6.5	0.1	3.1	4.8
P/E	19.0	2,551.7	90.7	58.4
P/BV	0.5	0.6	1.3	1.2
RNOA (%)	1.7	(0.9)	0.2	1.1
ROE (%)	2.8	0.0	1.3	2.1
EV/EBITDA	2.7	3.8	7.6	6.7
Div yld (%)	2.6	5.9	0.6	0.9
FCF yld ratio (%)	14.4	6.9	3.8	4.3
Leverage (EOP) (%)	(14.1)	(19.3)	(22.0)	(27.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Innolux (3481.TW)

Base case, 0.7x 2026e P/B. We use price/book value as our methodology because we believe it better reflects Innolux's intrinsic value, in view of the industry's relatively cyclical nature. Innolux has generally traded at an average of 0.6x P/B. We view 0.7x as justified based on pricing environment expectations along with its FOPLP expertise.

Risks to Upside

- More panel price hikes amid slower ramps of Chinese players
- Higher contribution from assembly business
- Stronger TV/IT demand recovery

Risks to Downside

- Macro demand slowdown
- Fiercer competition from Chinese panel makers
- Faster OLED panel adoptions in large size applications

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(as of February 28, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1528	41%	444	49%	29%	690	42%
Equal-weight/Hold	1590	43%	374	41%	24%	725	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	588	16%	87	10%	15%	220	13%
Total	3,710		906			1636	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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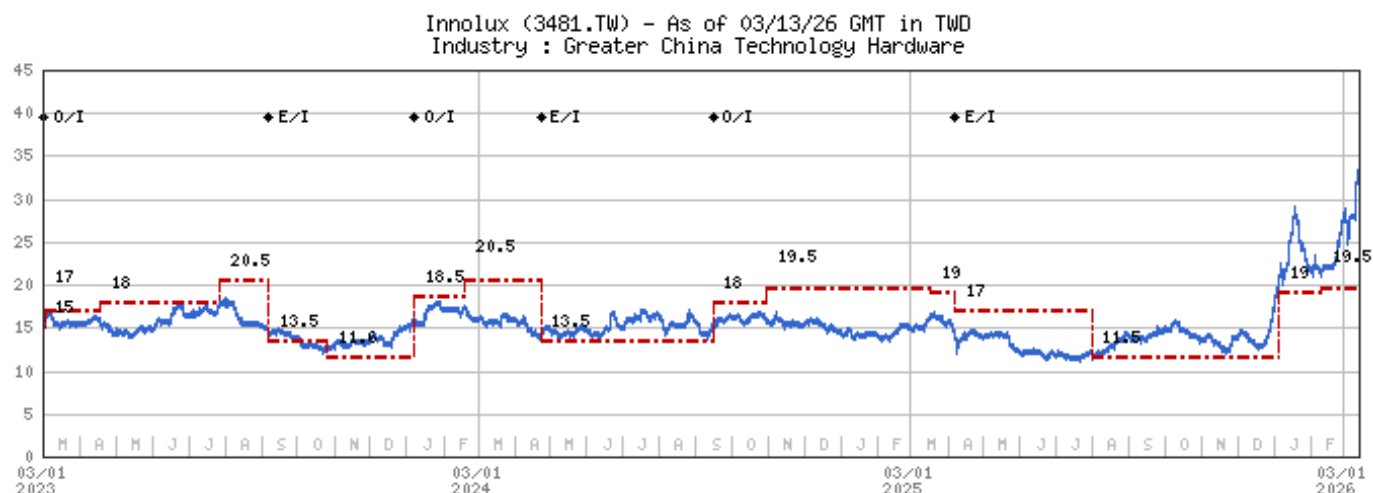
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 3/1/21 : O/I; 8/19/21 : E/I; 11/5/21 : O/I; 1/20/22 : E/I; 4/26/22 : U/I; 10/4/22 : O/I; 9/6/23 : E/I; 1/8/24 : O/I; 4/23/24 : E/I; 9/15/24 : O/I; 4/7/25 : E/I

Price Target History: 2/5/21 : 20.99; 4/8/21 : 34.25; 5/11/21 : 35.91; 6/18/21 : 28.73; 8/19/21 : 25.41; 10/20/21 : 18.78; 10/29/21 : 19.34; 11/5/21 : 23.76; 1/20/22 : 21.55; 2/14/22 : 20.99; 3/17/22 : 16.57; 4/26/22 : 13.48; 5/12/22 : 12.15; 7/14/22 : 9.39; 7/29/22 : 8.51; 10/4/22 : 13.5; 10/28/22 : 14.5; 2/15/23 : 15; 3/2/23 : 17; 4/18/23 : 18; 7/28/23 : 20.5; 9/6/23 : 13.5; 10/26/23 : 11.6; 1/8/24 : 18.5; 2/19/24 : 20.5; 4/23/24 : 13.5; 9/15/24 : 18; 10/30/24 : 19.5; 3/17/25 : 19; 4/7/25 : 17; 7/31/25 : 11.5; 1/5/26 : 19; 2/10/26 : 19.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (03/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$33.00
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb98.82
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$31.76
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb10.74
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.26
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb378.77
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$420.50
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.79
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb31.92
Largan Precision (3008.TW)	E (10/17/2025)	NT\$2,355.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb10.47
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.79
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK\$8.89
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb79.23
Shanghai Conant Optical Co Ltd (2276.HK)	E (09/11/2025)	HK\$58.20
Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb57.88
Sunny Optical (2382.HK)	O (07/10/2025)	HK\$57.25
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb334.04
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb33.41
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$33.30
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb245.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$158.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb118.69
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.71
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb534.80

ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$25.38
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb37.12
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,505.00
Advantech (2395.TW)	O (01/20/2021)	NT\$345.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,030.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$17.25
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,635.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.42
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK\$4.50
Chenbro (8210.TW)	O (07/23/2025)	NT\$881.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,495.00
E Ink Holdings Inc. (8069.TWO)	E (01/07/2026)	NT\$159.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$43.65
Hiwin Technologies Corp. (2049.TW)	E (02/27/2026)	NT\$244.00
Innolux (3481.TW)	E (04/07/2025)	NT\$32.95
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$3,290.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.02
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$97.20
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb18.74
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.89
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb9.55
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb133.54
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$27.90
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$581.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$32.65
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.53
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$228.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$911.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb63.30
Lenovo (0992.HK)	E (11/16/2025)	HK\$9.56
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,805.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$468.50
Pegatron Corporation (4938.TW)	U (11/16/2025)	NT\$77.10
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$288.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb62.76
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb252.61
Unimicron (3037.TW)	O (02/23/2026)	NT\$480.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$132.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$4,085.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$251.50
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$171.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$1,875.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,050.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$187.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,370.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,840.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb52.54
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$53.90
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb25.35
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$214.50
LandMark Optoelectronics Corporation (3081.TWO)	O (01/19/2026)	NT\$1,440.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb14.60

Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$159.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb49.70
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$141.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$149.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$223.00

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